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Origins of a Philosophy

To understand any disciplined approach to investment, it is first necessary to understand the objective for which the methodology is designed. For any part of the funds supervised by Fisher & Co., except for funds temporarily in cash or cash equivalents awaiting more suitable opportunities, it is the objective that they be invested in a very small number of companies that, because of the characteristics of their management, should both grow in sales and more importantly in profits at a rate significantly greater than industry as a whole. They should also do so at relatively small risk in relation to the growth involved. To meet Fisher & Co. standards, a management must have a viable policy for attaining these ends with all the willingness to subordinate immediate profits for the greater long-range gains that this concept requires. In addition, two characteristics are necessary. One is the ability to implement long-range policy with superior day-to-day performance in all the routine tasks of business operation. The other is that when significant mistakes occur, as is bound at times to happen when management strives for unique benefits through innovative concepts, new products, etc., or because management becomes too complacent through success, these mistakes are recognized clearly and remedial action is taken.

Because I believe I best understand the characteristics of manufacturing companies, I have confined Fisher & Co. activities largely to manufacturing enterprises that use a combination of leading edge technology and superior business judgment to accomplish these goals. In recent years, I have confined Fisher & Co. investments solely to this group, because on the few occasions when I have invested outside it, I have not been satisfied with the results. However, I see no reason why the same principles should not be equally profitable when applied by those with the necessary expertise in such fields as retailing, transportation, finance, etc.

No investment philosophy, unless it is just a carbon copy of some-one else's approach, develops in its complete form in any one day or year. In my own case, it grew over a considerable period of time, partly as a result of what